Competing to Negotiate: External Competitive Pressure and the Launch of Trade Negotiations

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October 19, 2026

Abstract

How do governments decide when to open trade negotiations? Research on trade cooperation has focused mainly on signed agreements, even though governments must first decide whether to launch trade talks at all. We shift attention to this earlier stage and argue that the launch of trade negotiations is shaped by external competitive pressure. We distinguish between two sources of such pressure. Market pressure arises when important export markets sign more trade agreements with other countries, while rivalry pressure arises when competing exporters expand their preferential trade ties. Because negotiations begin with specific counterparts, these pressures should also shape which country pairs are more likely to enter talks. We evaluate these arguments using a new dataset of 315 trade negotiations formally launched between 1980 and 2020 involving 30 Asia-Pacific countries. We find that broad country-level measures of market pressure and rivalry pressure show limited support, whereas dyads facing stronger external competitive pressure are more likely to launch negotiations. This pattern is strongest when we distinguish where rival exporters sign their agreements, especially when those agreements involve important export markets or the prospective partner itself. These findings highlight an important missing part of trade cooperation: governments' earlier strategic responses to external competitive pressure become visible as soon as they launch trade negotiations, often years before agreements are signed.

Keywords: trade negotiations; trade agreements; external competitive pressure; diffusion

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1 Introduction

How do governments decide when to open trade negotiations? Research on preferential trade agreements has focused mainly on signed agreements, even though governments must first decide whether to launch trade talks at all. This emphasis on completed agreements has generated important insights into the politics of trade cooperation, but it leaves the earlier stage of negotiation launch much less understood. Existing studies show that trade agreement formation is shaped by both the international environment and domestic political institutions, including political alignment among states, multilateral trade conditions, regime type, and the credibility of trade commitments (Gowa and Mansfield 1993; Mansfield 1998; Mansfield and Bronson 1997; Mansfield and Reinhardt 2003; Milner and Kubota 2005; Mansfield, Milner and Rosendorff 2002; Mansfield, Milner and Pevehouse 2008). Other work highlights the role of market access, economic compatibility, and governments' incentives to secure or lock in preferential ties (Manger 2012; Manger and Shadlen 2014).

Yet because this literature concentrates mainly on signed agreements, we still know much less about the earlier stage at which governments decide whether to pursue trade negotiations in the first place. Signed agreements represent only a subset of attempted trade cooperation, and they reveal only those negotiations that eventually reach conclusion. A growing body of work has begun to incorporate negotiations into the analysis, but most studies still focus on talks that end in agreement or on the economic effects of negotiations that ultimately succeed (Moser and Rose 2012; Mölders and Volz 2011; Lechner and Wüthrich 2018; Mölders 2016; Arroyo and Castillo-Ponce 2019; Elko 2026). As a result, we know less about the broader set of negotiations that are launched, prolonged, discontinued, or never concluded (Ye 2024*b*,*a*). This is important because governments may respond to external competitive pressure well before agreements are signed.

We argue that the launch of trade negotiations is shaped by external competitive pressure. When other states expand their preferential trade ties, governments that remain outside those arrangements may face growing pressure to respond (Mansfield and Milner 1999; Simmons, Dobbin and Garrett 2006). Important export markets may become less secure, rival exporters may gain advantages in overlapping markets, and the costs of inaction may rise. Under these conditions, governments have stronger incentives to seek trade negotiations in order to protect their market access and competitive standing

(Baccini and Dür 2012; Baldwin and Jaimovich 2012; Ravenhill 2010). We focus on two mechanisms. First, market pressure arises when a government's important export markets sign more trade agreements with other states, raising concerns about exclusion and relative disadvantage. Second, rivalry pressure arises when competing exporters sign more trade agreements, creating concerns about falling behind in shared markets. These pressures emerge first at the country level, but negotiations begin only when they are translated into a relationship with a feasible counterpart. We therefore hypothesize a dyadic relationship and examine how external competitive pressure shapes the likelihood that particular country pairs enter talks. Negotiation launch is thus not only a step toward trade cooperation, but also an early strategic response to changing external pressure.

To examine these arguments, we draw on new data on 315 trade negotiations formally launched between 1980 and 2020 involving 30 Asia-Pacific countries.[1] We examine whether external competitive pressure helps explain the onset of talks between country pairs. Our empirical strategy first measures competitive pressure at the country level and then translates those pressures into dyadic measures of negotiation onset.

Our findings show that external competitive pressure is most strongly associated with negotiation launch at the dyadic level. Broad country-level measures of market pressure and rivalry pressure show limited support, whereas dyads facing stronger external competitive pressure are more likely to enter negotiations. This pattern is strongest when we distinguish where rival exporters sign their agreements, especially when those agreements involve important export markets or the prospective partner itself.

This study contributes to the literature on trade cooperation in several ways. First, we shift attention to an earlier stage of trade cooperation at which governments respond to external competitive pressure. Studies limited to signed agreements miss an important part of the process: the earlier strategic responses that become visible as soon as governments launch trade negotiations, often years before agreements are signed. This focus allows us to observe a broader set of attempted cooperative efforts, including negotiations that are prolonged or discontinued. Second, we show that external competitive pressure is more informative at the dyadic level than at the country level, and that its effects

[1]The 30 focal countries include Australia, New Zealand, Japan, South Korea, Taiwan, China, the Philippines, Vietnam, Thailand, Cambodia, Laos, Myanmar, Brunei, Indonesia, Malaysia, Singapore, India, Canada, the United States, Mexico, Guatemala, El Salvador, Honduras, Nicaragua, Costa Rica, Panama, Colombia, Ecuador, Peru, and Chile. Figure A1 in the appendix presents their negotiation activity.

become clearer when we distinguish more carefully between different sources of pressure and where rival exporters sign their agreements. Third, we highlight that negotiation launch is not only a step toward trade cooperation, but also an early signal of strategic action. By launching negotiations, governments can respond to external competitive pressure and domestic demands for adjustment even before any agreement is concluded.

This study also has broader implications for how scholars understand trade cooperation. Existing research often treats competitive pressure as a general force behind the spread of trade agreements. We build on that insight but argue that the sources of pressure should be distinguished more carefully. Governments may respond to integration among their important export markets, to the expanding trade ties of rival exporters, or to both at once. By distinguishing market pressure from rivalry pressure, we show that what is often grouped together as competition can arise through different pathways. This distinction helps clarify how external pressure is translated into negotiation launch and, more broadly, how governments adjust to a changing trade environment.

2 Overview of Asia-Pacific Trade Negotiations

This section introduces the scope of trade negotiations among countries across the Asia-Pacific and highlights how the negotiation stage differs from the agreements ultimately signed. Existing research on preferential trade agreements has produced important explanations for why agreements form, emphasizing both the international environment and domestic political institutions (Gowa and Mansfield 1993; Mansfield 1998; Mansfield and Bronson 1997; Mansfield and Reinhardt 2003; Milner and Kubota 2005; Mansfield, Milner and Rosendorff 2002). At the same time, much less attention has been paid to the larger set of negotiations that are launched, ongoing, or never concluded. These stages should not be treated as the same, because signed agreements reflect only those bargaining efforts that eventually reach conclusion (Ye 2024*b*,*a*). Some studies incorporate negotiations into the analyses, but they usually focus on talks that eventually reach agreement and therefore still leave aside discontinued and ongoing negotiations (Lechner and Wüthrich 2018; Mölders 2016; Moser and Rose 2012; Mölders and Volz 2011; Elko 2026; Arroyo and Castillo-Ponce 2019). By focusing on the earlier stage at which governments decide whether to launch trade negotiations and with whom, this study brings

into view a broader set of cooperative efforts that cannot be observed in datasets limited to signed agreements.

The analysis draws on a dataset of 315 trade negotiations formally launched between 1980 and 2020, involving at least one of 30 focal countries in the Asia-Pacific. Unlike conventional trade agreement datasets, which typically record only signed agreements, this dataset captures the full life cycle of trade negotiations — from formal launch through signature, entry into force, or discontinuation. The 30 focal countries span Oceania (2), East Asia (4), Southeast Asia (10), South Asia (1), North America (3), Central America (6), and South America (4). These negotiations involve a total of 130 unique countries worldwide, including 100 non-focal partner countries.

This regional scope is substantively useful for studying trade negotiations. The Asia-Pacific has been an active site of bilateral and plurilateral trade initiatives, and it includes both within-region and cross-region negotiation dynamics (Solís and Katada 2007; Shadlen 2008). Compared with Europe, where trade negotiations are more heavily shaped by the European Union's supranational institution, trade diplomacy in the Asia-Pacific is more decentralized, with initiatives emerging from individual governments as well as regional organizations like ASEAN, Mercosur, or the Pacific Alliance (Kaltenthaler and Mora 2002; Dent 2010; Villarreal 2016). This region also includes substantial variation in economic size, development level, and political institutions, which makes it a useful setting for examining whether similar competitive pressures operate across diverse contexts. At the same time, limiting the analysis to this set of countries improves data reliability, since the launch, progress, and outcomes of negotiations can be identified with greater confidence here than in a broader global sample.

Table 1 provides an initial overview of the outcomes observed in the data. Among the 315 negotiations, 211 (67%) resulted in signed trade agreements, 80 (25.4%) were discontinued, and 24 (7.6%) remained ongoing by the end of 2020.[2] Furthermore, 198 (62.9%) of launched negotiations eventually entered into force. These patterns illustrate why it is useful to distinguish trade negotiations from signed agreements. If the analysis were limited to signed agreements alone, nearly one-third of the negotiations in the dataset would disappear from the analysis. Looking at negotiations instead of only their successful end points therefore makes it possible to observe a broader range of attempted trade

[2]Discontinued negotiations are those in which no negotiating round or meeting has taken place for more than 24 months, indicating that the parties have ceased to advance the talks.

cooperation, including cases that were discontinued before reaching signature.

Table 1: Negotiation Outcomes, 30 Asia-Pacific Countries, 1980–2020

	N	% of Total
Panel A: Mutually Exclusive Outcomes		
Signed	211	67.0%
Discontinued	80	25.4%
Ongoing	24	7.6%
Total	315	100.0%
Panel B: Negotiation Stages		
Started	315	100.0%
→ Signed	211	67.0%
→ Entered into force	198	62.9%

Figure 1 complements Table 1 by showing how the negotiation outcomes unfolded over time. The stock of ongoing negotiations grew steadily from the 2000s as more negotiations were launched than concluded. The trend peaked in 2012 before declining as a wave of agreements was signed. The downward bars show that the discontinued negotiations were not concentrated in a specific period but occurred throughout 2005–2020, suggesting that such cases are not purely driven by systemic shocks.

Table 2 summarizes negotiation structure and outcomes. The sample is predominantly bilateral: 217 of 315 negotiations (68.9%) involve only two parties, while 98 (31.1%) are multilateral. This predominance of bilateralism is also consistent with broader patterns in Asia-Pacific trade diplomacy, where bilateral agreements have played a particularly important role (Kim and Manger 2017). Among multilateral negotiations, 80 (81.6%) involve a regional organization as a negotiating party. The success rate (the share of launched negotiations ending in a signed agreement) is 69.6% for bilateral negotiations and 61.2% for multilateral negotiations. Conversely, the discontinuation rate is 22.1% for bilateral and 32.7% for multilateral negotiations. In such cases, the organizations may serve as a venue for negotiation, coordinate member-state positions, facilitate regional integration, and resolve trade disputes (Haftel 2013; Villarreal 2016), even though their role at the bargaining table may vary across cases.

Table 3 reports the duration of trade negotiations by phase and outcome. Among negotiations that resulted in a signed agreement, the median time from formal launch to signature is 2 years. Bilateral negotiations have a median duration of 2 years, compared

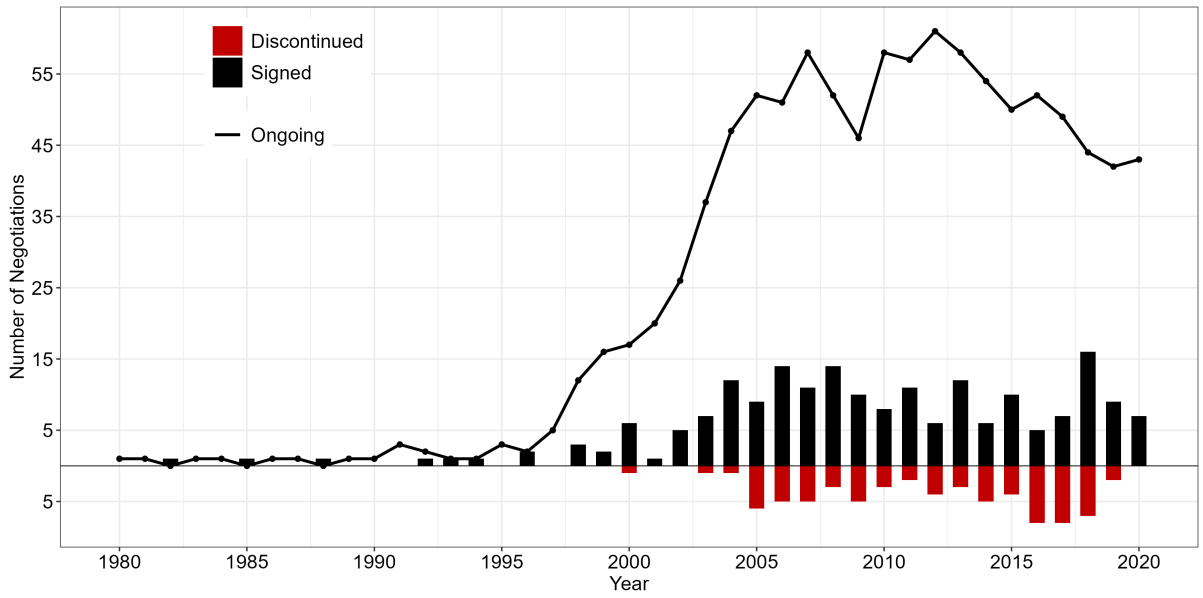


Figure 1: Annual Trends of Trade Negotiation Activity, 30 Asia-Pacific Countries, 1980–2020

Note: Upward bars (black) indicate the number of negotiations that concluded with a signed agreement in each year. Downward bars (red) show the number of negotiations that were discontinued. The line traces the stock of ongoing negotiations: those formally launched but not yet signed or discontinued.

Table 2: Negotiation Structure and Outcomes, 30 Asia-Pacific Countries, 1980–2020

	Bilateral	Multilateral	Total
Panel A: Negotiation Structure			
Number of negotiations	217 (68.9%)	98 (31.1%)	315
Involving a regional organization	—	80 (81.6%)	80
Panel B: Negotiation Outcomes			
Signed	151 (47.9%)	60 (19.0%)	211
Discontinued	48 (15.2%)	32 (10.2%)	80
Ongoing	18 (5.7%)	6 (1.9%)	24
Panel C: Success and Discontinuation Rates			
Success rate	69.6%	61.2%	67.0%
Discontinuation rate	22.1%	32.7%	25.4%

Note: Percentages in Panel B are calculated as a share of the total sample (N=315). Success and discontinuation rates in Panel C are calculated within each column.

to 3 years for multilateral negotiations. Once signed, agreements take an average of 1.4 years to enter into force. Among unfinished negotiations, discontinued negotiations were active for a median of 2 years before ceasing, while ongoing negotiations have been underway for a median of 3 years as of the end of the observation period (2020). These patterns suggest that duration by itself provides only limited information about eventual outcomes, as negotiations that are later discontinued may remain active for roughly as long as those that ultimately reach signature.

Table 3: Duration of Trade Negotiations by Outcome (Years)

	N	Mean	SD	Min	Median	Max
Panel A: Signed Negotiations						
Start → Signature (all)	211	3.1	2.7	0	2.0	16
Bilateral	151	2.9	2.7	0	2.0	16
Multilateral	60	3.4	2.5	0	3.0	10
Signature → In Force	198	1.4	1.2	0	1.0	7
Panel B: Unfinished Negotiations						
All unfinished	104	3.7	3.8	0	2.0	14
Discontinued	80	3.5	3.7	0	2.0	14
Ongoing	24	4.5	4.4	0	3.0	13

These patterns have implications for how we understand country-level negotiation behavior. When countries are ranked by the number of signed agreements, the picture differs from one based on launched negotiations (Figure 2). The Spearman rank correlation between the two rankings is 0.903, indicating that the two measures are similar but not identical.[3] Some countries (like Peru, Australia, and Colombia) rank higher on signed agreements, reflecting more effective engagement. Others (like India, Thailand, and El Salvador) rank considerably higher on launched negotiations than on signed agreements, suggesting active but less successful negotiation outcomes. For instance, India ranks 4th by 29 launched negotiations but only 16th by 14 signed agreements, a gap driven by 4 ongoing negotiations (as of 2020) and 11 discontinued negotiations such as the India-Gulf Cooperation Council Free Trade Agreement (2004–2008) and the India-Israel Free Trade Agreement (2007–2013). These differences are invisible in datasets that record only completed agreements.

[3]The Spearman coefficient is calculated from the ranks of the observations rather than their raw values, so it captures the similarity of the two rank orderings.

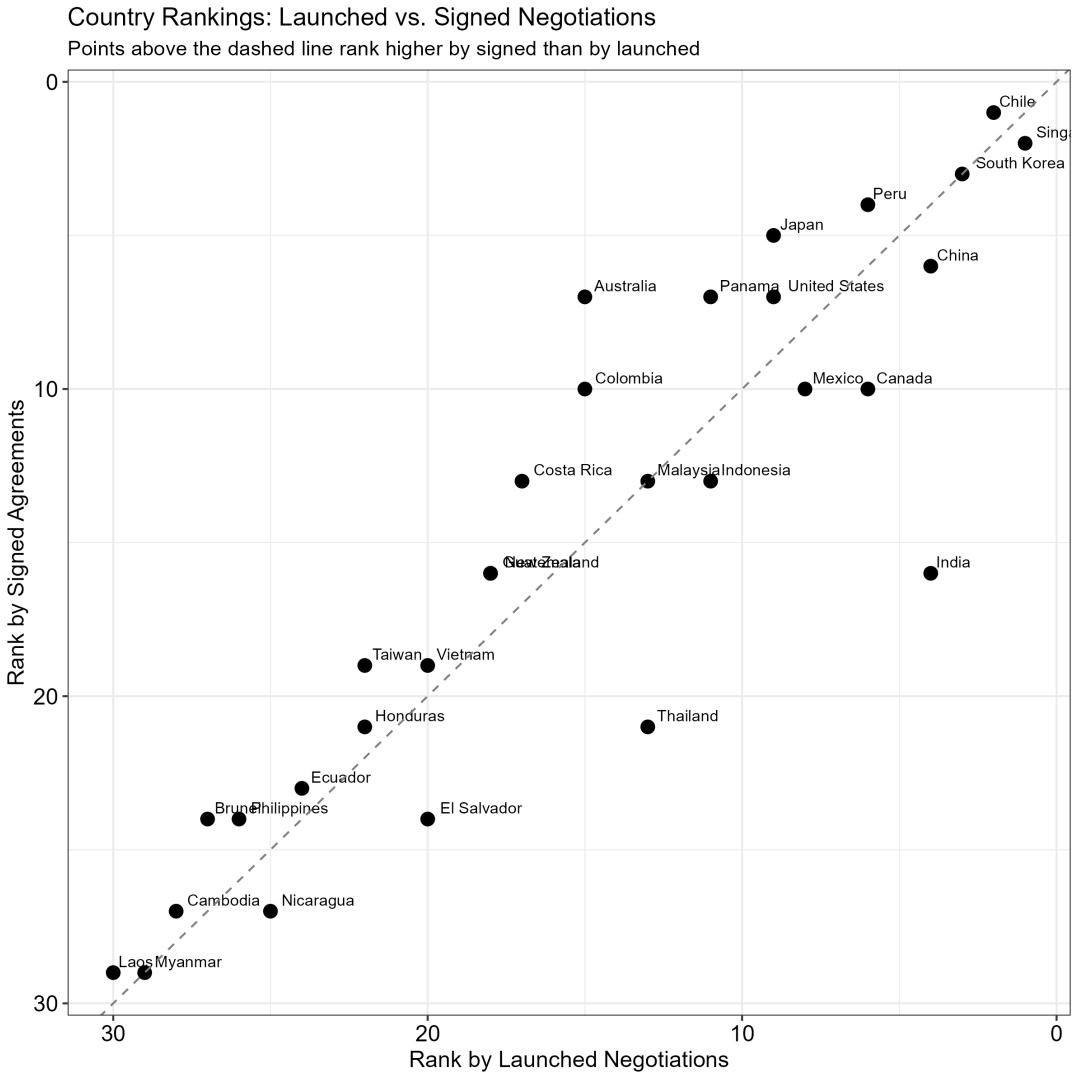


Figure 2: Country Rankings: Launched vs. Signed Negotiations, 30 Asia-Pacific Countries

Note: Each point represents one of the 30 focal countries. The horizontal axis shows the country's rank by total launched negotiations; the vertical axis shows its rank by signed agreements. Countries along the dashed 45-degree line have consistent rankings across both measures. Countries above the line rank higher by signed agreements than by launched negotiations; countries below the line rank higher by launched negotiations. Rank 1 = most negotiations.

These descriptive patterns suggest why it is important to study the negotiation process itself rather than only its successful conclusions. More fundamentally, trade negotiations involve deliberate government action at multiple stages. The decision to commission a joint feasibility study, the decision to launch formal talks, and the conduct of negotiations themselves are all observable policy behaviors through which governments respond to domestic and international pressures (Moser and Rose 2012; Mölders and Volz 2011). When analysis is limited to signed agreements, existing research not only risks selection bias, but also overlooks the stages at which those pressures are first translated into political action. The next section develops a theoretical explanation for how external competitive pressure is translated into the launch of trade negotiations and the choice of negotiation partners.

3 External Competitive Pressure and Trade Negotiations

We argue that the decision to launch trade negotiations is shaped by external competitive pressure. Governments do not move toward trade negotiations in a vacuum. External competitive pressure emerges from the trade-agreement activity outside a given country. When other countries expand preferential trade ties, governments that remain outside those arrangements face rising costs of inaction (Mansfield and Milner 1999; Simmons, Dobbin and Garrett 2006; Elkins, Guzman and Simmons 2006; Baccini and Dür 2012; Baldwin and Jaimovich 2012). Their access to important markets may become less secure, rival exporters may gain relative advantages, and the broader trade environment may become less favorable to those left out. Furthermore, external competitive pressure matters politically because governments interpret these external developments as signals that their existing market access is changing to their disadvantage and define their interests accordingly. Under these conditions, governments have stronger incentives to pursue trade negotiations in order to defend their market access, competitiveness, or bargaining leverage.

We focus on two mechanisms through which external competitive pressure can motivate governments to pursue trade negotiations. First, market pressure arises when a government's important export markets expand trade ties with other states. Second,

rivalry pressure arises when competing exporters become more integrated with other states through trade agreements. Although these two mechanisms operate through different pathways, both begin at the country level. Governments observe changes in the external trade environment and then consider whether and how they should respond. We then extend the analysis to the dyadic level and examine how the pressure facing each side shapes the likelihood that two countries will launch trade negotiations with one another.

This distinction adds to the diffusion and regionalism literatures, which discuss market competition being one of the driving forces behind PTA proliferation (Mansfield and Milner 1999; Simmons and Elkins 2004; Elkins and Simmons 2005; Baccini and Dür 2012; Shadlen 2008; Ravenhill 2010). However, prior research rarely distinguishes or examines the sources of competitive pressure. Our study connects the diffusion literature to an earlier stage of trade cooperation: instead of treating the proliferation of agreements only as an outcome, we examine how perceptions of competitive pressure are translated into the observable policy action of launching negotiations (Elkins, Guzman and Simmons 2006).

3.1 Market Pressure

Market pressure arises when governments see their important export markets becoming more integrated with other states. Because those markets are valuable export destinations, governments have strong incentives to preserve their access and competitiveness there. Two concerns are especially important in this mechanism.

First, when a country's major export markets sign trade agreements with other states, the excluded country may worry that it will be excluded from the new preferential arrangements and face a less favorable competitive environment (Lloyd 2002). Such preferential arrangements may place the excluded country at a relative disadvantage because they can generate trade diversion, shifting trade toward exporters from countries that enjoy the new preferential ties (Baccini and Dür 2012; Egger and Larch 2008; Baldwin and Jaimovich 2012; Chen and Joshi 2010; Dai, Yotov and Zylkin 2014). The more important those markets are to the country's export profile, the stronger the pressure to respond.

Second, governments may worry about losing ground in important export markets

when those markets sign trade agreements with other states. Even when the country does not lose access to the market in an absolute sense, it may still find itself in a weaker competitive position if other exporters receive better tariff treatment, regulatory access, or other institutional advantages (Dai, Yotov and Zylkin 2014; Baccini and Dür 2015). Thus, the problem is not necessarily the complete loss of market access, but rather a decline in the relative terms on which access is maintained.

These external pressures are more likely to matter politically when exclusion or relative disadvantage threatens the interests of domestic firms. Preferential trade agreements can help firms secure market access, participate in cross-border production networks, and maintain competitive advantages in export markets (Chase 2003; Manger 2005, 2012; Hale 2011; Osgood 2018; Manger and Shadlen 2014; Zeng, Lu and Li 2021). When important export markets become more integrated with other countries, firms that depend on those markets have stronger incentives to press governments to respond. In this way, market pressure is transmitted through domestic political channels. Governments react not only because the external trade environment has changed, but also because firms and business associations have reasons to demand policy adjustment in order to protect existing market access or secure alternative opportunities (Postigo 2016; Manger 2005; Osgood 2018).

The response to market pressure is not necessarily directed toward the threatened market itself. Governments may try to negotiate directly with the market that is becoming less secure. However, they may also seek alternative partners that help offset emerging disadvantages, diversify export destinations, or strengthen their broader bargaining position in the trade system. More generally, governments do not always respond to external pressure by negotiating with the market that generated the threat, and may instead pursue alternative adjustments (Genovese, Kern and Martin 2017).

These external and domestic pressures together increase the likelihood that governments will respond by launching trade talks. We hypothesize that governments become more likely to move toward trade negotiations when developments in their important export markets make inaction more costly. As major destination markets sign more trade agreements with other countries, governments that depend on those markets face stronger incentives to protect their access and competitiveness by seeking trade cooperation of their own.

Hypothesis 1 - Market Pressure: A country is more likely to launch trade negotiations when its important export markets sign more trade agreements with other countries.

3.2 Rivalry Pressure

Rivalry pressure arises when governments see competing exporters becoming more integrated. Countries that sell similar products or compete in overlapping destination markets are especially sensitive to one another's trade-policy moves. When one exporter secures preferential access through a trade agreement, its rivals may come under greater competitive pressure in markets where they previously competed on more equal terms. The extent of this pressure depends on how closely the competing countries overlap in their export profiles. Hence, the expanding trade ties of rival suppliers can create pressure for governments to move toward trade negotiations (Simmons and Elkins 2004; Elkins and Simmons 2005; Baldwin and Jaimovich 2012; Solís, Stallings and Katada 2009).

The central concern in rivalry pressure is not exclusion from a major market, but the possibility of falling behind rival exporters in shared markets. When rival exporters secure preferential access through trade agreements, governments may worry that their own firms will no longer compete on a level playing field, even if market access is not lost altogether. In this mechanism, pressure comes not from a major export destination changing its trade policy toward the country, but from a rival exporter gaining a competitive advantage in the same market through trade agreements. As rivals gain better access or lower transaction costs through trade agreements, governments may expect greater difficulty maintaining market share and preserving the competitive standing of their export sectors (Donno and Rudra 2019; Shadlen 2008). The problem, therefore, is not necessarily exclusion from the market itself, but the possibility of losing ground to competitors in overlapping export markets.

Rivalry pressure may be especially likely to generate political action when rival exporters' gains threaten the competitiveness of domestic firms in shared markets. Firms and industries that compete head-to-head with foreign exporters have strong incentives to preserve their market share and competitiveness, particularly when trade agreements help rivals secure lower transaction costs, stronger market access, or more favorable terms of trade (Chase 2003; Manger 2005; Osgood 2018; Baccini and Dür 2015). When exporters in competing countries become more integrated, domestic producers may worry about

losing market share and falling behind in markets where they had previously competed on more equal terms. Governments therefore face pressure not only from changes in the external trade environment, but also from bottom-up demands by firms and business associations seeking to maintain a level playing field (Postigo 2016; Manger 2005; Baccini and Dür 2015).

At the same time, rivalry pressure does not imply that governments will respond by negotiating directly with their export rivals. Trade agreements are often more likely to emerge between countries whose trade structures are at least partly complementary, rather than between countries whose export profiles overlap heavily. In practice, joint feasibility studies conducted before the formal launch of negotiations often examine the extent of economic complementarity between prospective partners and the risks that may arise from a trade agreement. Governments therefore do not respond to rivalry pressure by choosing partners at random. They are more likely to consider whether an agreement is feasible and whether alternative partners offer a more attractive path than negotiating directly with a close competitor (Meissner 2019; Elko 2026; McKibben 2020). As a result, countries facing rivalry pressure may be less likely to pursue trade talks with their direct competitors unless some form of complementarity, such as through supply chains or regional production networks, also makes cooperation attractive (Manger and Shadlen 2014; Zeng, Lu and Li 2021; Hale 2011). Instead, governments may respond by seeking agreements with other partners that help offset the advantages gained by rival exporters.

In sum, these arguments suggest that governments become more likely to move toward trade negotiations when rival exporters' trade-agreement activity places them under greater competitive pressure in overlapping markets. As competing exporters expand their preferential trade ties, governments have stronger incentives to seek trade cooperation of their own in order to avoid falling behind.

Hypothesis 2 - Rivalry Pressure: A country is more likely to launch trade negotiations when rival exporters sign more trade agreements.

3.3 It Takes Two to Tango: Dyadic Hypotheses

We further argue that the likelihood of trade negotiation onset rises when external competitive pressure is present on one or both sides of a prospective dyad. Although market

pressure and rivalry pressure arise first at the country level, trade negotiations are not unilateral acts. A government may face strong incentives to pursue trade talks, but negotiations can begin only when those incentives are translated into a relationship with a specific counterpart. Country-level pressure therefore does not automatically produce negotiation onset. Instead, it must be converted into a dyadic match.

External competitive pressure can shape the matching process by affecting which partners appear more plausible at a given moment. A government under pressure is not likely to approach prospective partners at random. It is more likely to look for counterparts that also have some incentive to move, since negotiations are more likely to begin when both sides see value in engaging (Fearon 1998). As a result, partner choice is not simply about finding an ideal economic alternative. It is also about finding a counterpart with whom talks have a realistic chance of moving forward. Governments are therefore likely to consider not only the potential benefits of an agreement, but also how alternative partners compare under existing constraints, how costly non-agreement may be, and how their own interests are defined in light of those alternatives (Sebenius 1992; Elko 2026; McKibben 2020). When a government faces stronger external pressure, it may prefer to approach another government that also has reasons to negotiate, because this prospective partner is more likely to enter talks, sustain them, and help carry the process beyond a symbolic opening.

A government may face market pressure because its important export destinations are becoming less secure, while another may face rivalry pressure because competing exporters are gaining ground in shared markets. What brings such governments together is not necessarily a shared source of pressure, but the fact that each sees the other as a plausible partner through which it can respond to external constraints. One side may be looking to diversify export options, while the other may be seeking to offset competitive disadvantages. If both see some value in moving toward trade cooperation, negotiations become more likely to begin.

Negotiation launch is therefore not only a cooperative act but also a signal of strategic response. By opening talks, governments can show domestic audiences that they are responding to changes and pressures (Chaudoin 2014; Wratil, Wäckerle and Proksch 2023), even before any agreement is concluded. This signaling function may matter even when the chosen partner does not directly remove the original source of pressure.

The dyadic implication is therefore straightforward. Pressure on either side of a prospective dyad may increase the likelihood of negotiation onset, because it creates incentives to seek trade cooperation. At the same time, trade negotiations become more likely when both sides face stronger external competitive pressure, since mutual pressure makes it easier for governments to recognize one another as plausible negotiating partners. These incentives may be sufficient to generate negotiation launch even when they do not guarantee that talks will ultimately reach signature.

Hypothesis 3 - Dyadic Market Pressure: A dyad is more likely to launch trade negotiations when one or both countries' important export markets sign more trade agreements with other countries, with the highest likelihood when both countries face high market pressure.

Hypothesis 4 - Dyadic Rivalry Pressure: A dyad is more likely to launch trade negotiations when one or both countries' export rivals sign more trade agreements, with the highest likelihood when both countries face high rivalry pressure.

This logic also suggests that the effects of rivalry pressure depend in part on where rival exporters sign their agreements. Not all rival agreements generate the same degree of external competitive pressure. Governments should feel the strongest pressure to respond when rival exporters sign agreements in markets that are important to their exports, since those agreements threaten access to key destinations or intensify competition in those markets (Baccini and Dür 2012). In such cases, governments face stronger incentives to take action, including the launch of new trade negotiations. This expectation implies that governments are more likely to launch negotiations when rivals sign in important export markets.

Hypothesis 5 - Rivalry in Export Markets: Governments are more likely to launch trade negotiations when rival exporters sign trade agreements in markets that are important to their exports.

4 Data and Methods

We examine trade negotiations involving 30 Asia-Pacific countries. Our empirical tests focus on bilateral negotiations, which account for roughly 70% of the negotiations in the data (Table 2). Mechanically breaking multilateral cases into multiple dyads may

artificially increase the number of observations and potentially bias the analysis (Fordham and Poast 2016; Poast 2010, 2016). We do not yet have a satisfactory way to model multilateral negotiations and negotiations involving regional organizations within the same framework. There may also be additional factors to consider when countries decide to negotiate multilaterally rather than bilaterally. This matters especially because the external pressures that prompt the launch of bilateral negotiations do not necessarily determine whether those talks ultimately remain bilateral or conclude in that form.[4] The analysis that follows therefore focuses on the initiation of bilateral trade negotiations at both the country-year and dyad-year levels.

4.1 Dependent Variables

We draw on the Trade Bargaining Dataset (TBD) to build our two main dependent variables (Ye 2024*b*,*a*). The TBD systematically records the launch, progress, and outcomes of trade negotiations, including whether negotiations eventually lead to a signed agreement, remain ongoing, or are discontinued. Because the dataset identifies each negotiating party, it allows us to link negotiation activity to the economic and trade characteristics of the countries involved.

To test Hypothesis 1 and Hypothesis 2, we use a country-year design based on the 30 Asia-Pacific countries. The dependent variable equals 1 if a country enters a new bilateral trade negotiation in a given year and 0 otherwise.[5] The country-year sample contains 717 observations from 1997 to 2020.

To test Hypothesis 3 and Hypothesis 4, we use a dyad-year design in which each observation is a dyad formed by one of the 30 Asia-Pacific countries and another country in the world. The dependent variable equals 1 if a country pair enters a new bilateral trade negotiation in a given year and 0 otherwise. The dyadic sample contains 3,315 dyads and 78,639 dyad-year observations between 1997 and 2020.

[4] In practice, some bilateral negotiations are later incorporated into broader multilateral processes, while some initially small multilateral negotiations expand to include additional parties. For example, bilateral trade talks between Canada and Japan were later folded into the Trans-Pacific Partnership, while the Pacific-4 agreement expanded into a broader plurilateral negotiation through the same process (Mansfield and Pevehouse 2013).

[5] Participation means entering a new bilateral negotiation in a given year. 205 of the 208 events in our samples are launches of new negotiations and 3 are updates of existing agreements.

4.2 Main Independent Variables

Our three main independent variables are *market pressure*, *rivalry pressure*, and *rivalry in export markets*. Each captures a different source of external competitive pressure that, we argue, may influence governments' decisions to launch trade negotiations. All measures are based on recent agreement signature activity by other countries. We focus on signature because signed agreements publicly confirm governments' decisions to deepen trade cooperation and therefore provide a stronger signal of external change than negotiations that are merely proposed or underway.

All three measures rely on two types of information: trade agreement activity and countries' export profiles. To construct them, we combine information on signed trade agreements from the Design of Trade Agreements (DESTA) dataset (Dür, Baccini and Elsig 2014) with trade data from CEPII's BACI database (Gaulier and Zignago 2010). We count agreements signed in the three years prior to the observation year, from $t-3$ to $t-1$, in order to capture relatively recent external pressure. Export data are measured at $t-1$. A country's own agreements are not counted toward its own pressure.

The first variable, *market pressure*, captures recent trade agreement activity in a country's export markets. A focal country i exports to destination b. If b signs a trade agreement with another country c, that agreement may create pressure for i because b is one of i's important export destinations (see the top panel in Figure 3). The amount of pressure depends on how important b is to i's export profile. We therefore weight each destination's agreement signatures by how important that destination is to the focal country's exports. We then sum these weighted values across all destinations (Equation (1)).

$$MP_{it} = \sum_{b} D_{ib,t-1}\, S_{ib,t-3:t-1} \tag{1}$$

Here, $D_{ib,t-1}$ is the share of country i's exports going to destination b at time $t-1$, and $S_{ib,t-3:t-1}$ is the number of agreements signed by b between $t-3$ and $t-1$ that do not involve i. *Market pressure* thus captures the extent to which a country's important export markets are becoming more integrated with other countries.

The second variable, *rivalry pressure*, captures recent trade agreement activity by rival exporters. If a focal country i and another exporting country r export very similar

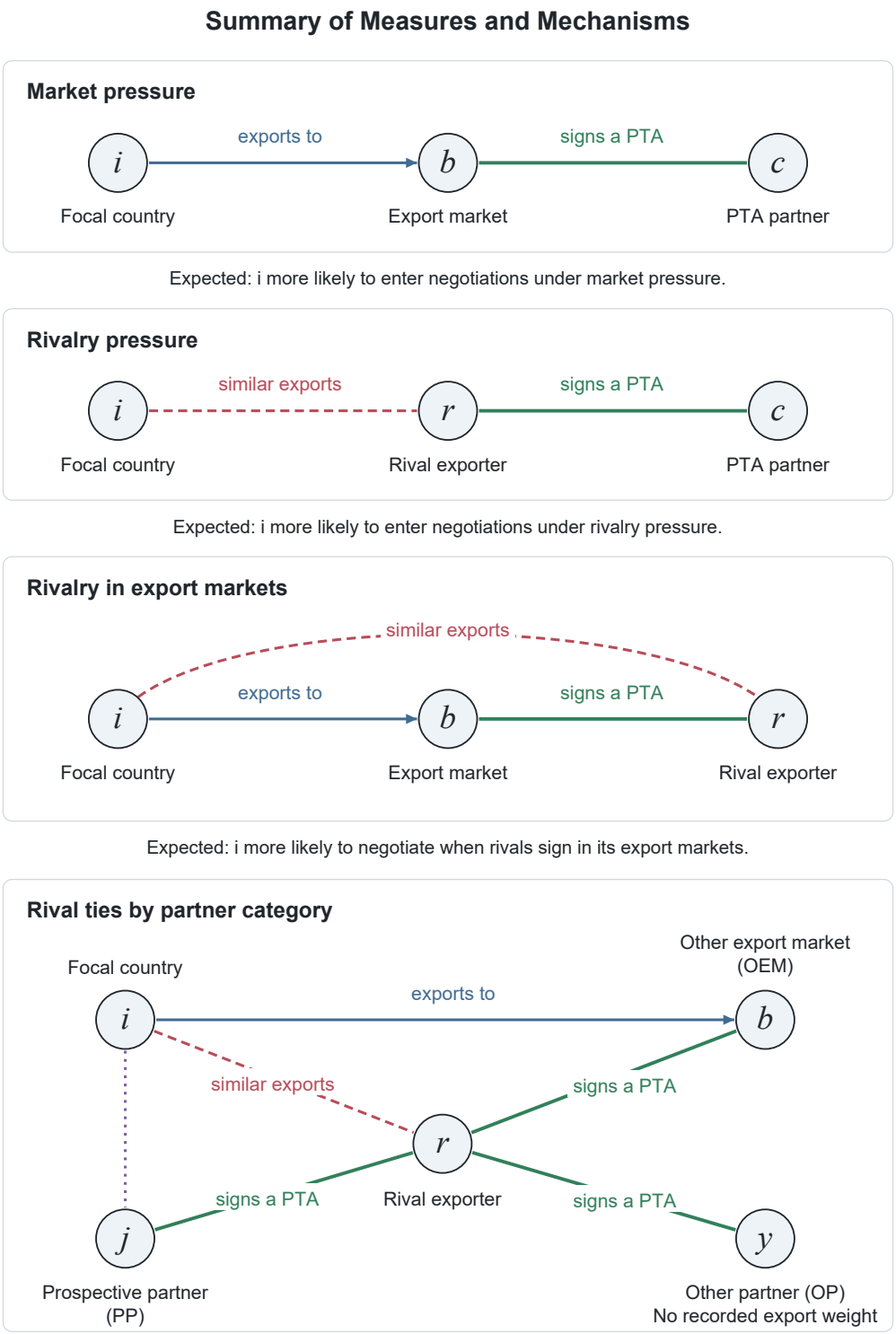


Figure 3: Summary of Measures and Mechanisms.

baskets of goods, then r can be understood as a close export rival of i. If r signs a trade agreement with another country c, that agreement may create pressure for i because it may improve r's competitive position in markets where the two countries sell similar products (see the second panel in Figure 3). The amount of pressure depends on how similar r's export profile is to i's. We therefore weight each rival exporter's agreement signatures by its degree of export similarity to the focal country. We then sum these weighted values across all rival exporters.

To capture export similarity, we use the Finger–Kreinin index (Finger and Kreinin 1979), defined in Equation (2). For each product at the 6-digit HS level, the index takes the smaller of two countries' export shares and then sums these values across all products, capturing the overlap in their export composition. We rescale this overlap by multiplying by 100, so the index ranges from 0 (no overlap) to 100 (identical export structures).[6] Higher values indicate greater similarity in export composition and therefore a closer competitive relationship between the two exporters.

$$W_{ir,t-1} = 100 \times \sum_{k} \min\left(s_{ik,t-1},\ s_{rk,t-1}\right) \tag{2}$$

$s_{ik,t-1}$ and $s_{rk,t-1}$ denote product k's share of total exports for country i and rival r, respectively, at $t-1$. We then use this similarity score to construct *rivalry pressure*. In equation (3), $W_{ir,t-1}$ is the export similarity between country i and rival exporter r at time $t-1$, and $S_{ir,t-3:t-1}$ is the number of agreements signed by r between $t-3$ and $t-1$ that do not involve i. *Rivalry pressure* thus captures the extent to which a country's close export rivals are deepening their trade ties with other countries.

$$RP_{it} = \sum_{r \neq i} W_{ir,t-1}\, S_{ir,t-3:t-1} \tag{3}$$

Figure 4 showcases the top five destinations by export share (used to compile *market pressure*) and top five rival exporters by export similarity (used to compile *rivalry pressure*) as of 2015 for six selected focal countries. Among focal countries, *market pressure* could be influenced by a concentrated export share (such as in the case of Mexico, which sends three quarters of its exports to the US), or a very dispersed one (such as in the

[6]The Finger–Kreinin index cannot exceed 1 before rescaling because export shares sum to 1 for each country, and taking the smaller share for each product ensures the summed overlap can never exceed either country's full export profile. Multiplying by 100 rescales the index into a more intuitive 0–100 metric.

case of Indonesia, where the top 5 ranges from 8% to 11%). *Rivalry pressure* is based on export similarity regardless of where the rival is located: Chile finds its rivals across countries like Peru, the Democratic Republic of the Congo, Armenia, Zambia and Mongolia (other economies for which mining is important), while South Korea finds its rivals in relatively close Japan, Taiwan and Singapore, plus the US and Germany (exporters of semiconductors and cars, among others). Our measures are, however, dependent on instances of trade agreement signature: despite being a rival of Australia, Mauritania supplies less than 1 percent of its rivalry pressure due to its few PTAs.

Market pressure and rivalry pressure are first constructed at the country-year level. For the dyadic models testing Hypothesis 3 and Hypothesis 4, we translate these measures into dyadic terms by summing the pressure values of the two countries in each pair. This allows us to capture the total level of external competitive pressure present in the dyad. In some specifications, we also include the product of the two countries' standardized pressure values in order to capture joint exposure more explicitly, that is, whether negotiation onset is especially likely when both countries face high pressure.

Figure 5 illustrates market and rivalry pressure, taken as the mean in any given year from 1997 to 2020 and compared to each bilateral negotiation initiated in the same period. Both pressures and the negotiation events follow a regional wave, with higher mean measures and events between 2004 and 2010.[7]

In addition to market pressure and rivalry pressure, we consider a third independent variable, *rivalry in export markets*, which captures where rival exporters sign their agreements. More specifically, rivalry pressure may be stronger when rivals deepen trade ties in markets that are important export destinations for the focal country (see the third panel in Figure 3). To construct this measure, we first normalize each rival's export similarity with the focal country by the country's total export similarity across all rivals (Equation (4)). These normalized similarity weights sum to 1 across rivals and indicate the relative importance of each rival in the focal country's competitive environment.

$$\widetilde{W}_{ir,t-1} = \frac{W_{ir,t-1}}{\sum_{q \neq i} W_{iq,t-1}} \tag{4}$$

$W_{ir,t-1}$ is the export similarity between country i and a specific rival exporter r at time $t-1$, while the denominator sums export similarity across all rival exporters $q \neq i$.

[7]The two pressure measures correlate by 0.4 across all country-years.

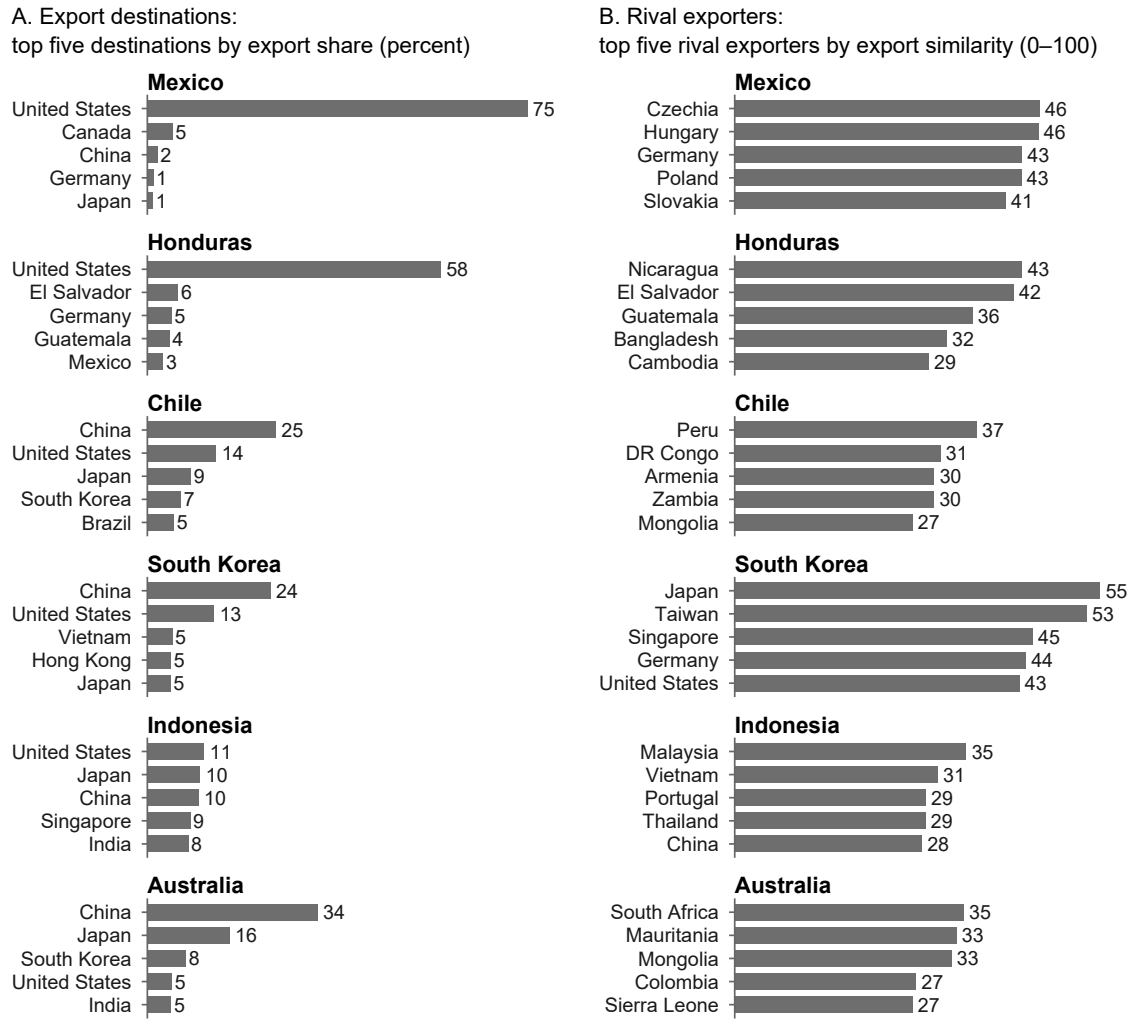


Figure 4: Top five export destinations and rival exporters for Mexico, Honduras, Chile, South Korea, Indonesia, and Australia (2015).

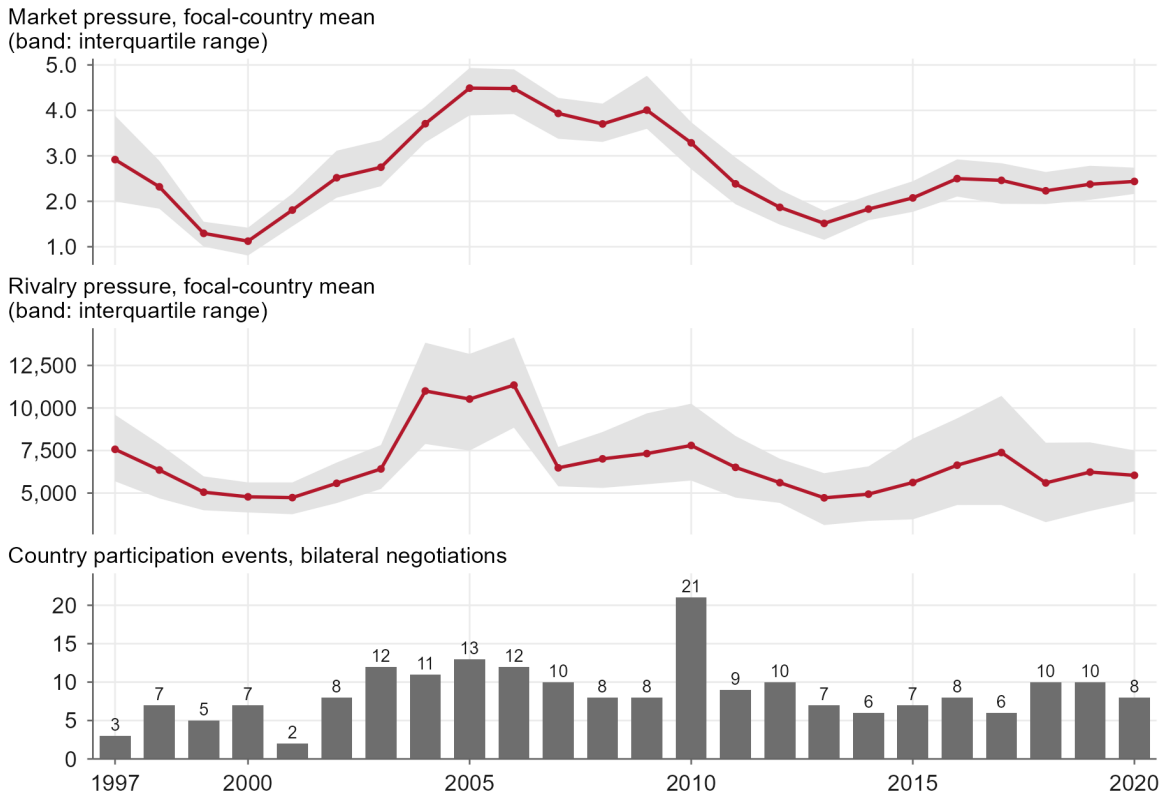


Figure 5: Market and rivalry pressure mean levels (and focal countries entering new bilateral negotiations), by year. Lines represent country means, bands represent interquartile ranges.

Thus, $\widetilde{W}_{ir,t-1}$ indicates how important rival r is in country i's overall profile of export rivals.

At the country level, *rivalry in export markets* captures the extent to which rival exporters sign agreements with the focal country's export destinations. Each rival–destination tie is weighted twice: first by the rival's normalized export similarity with the focal country, and second by the destination's share of the focal country's exports. For example, if rival r's export similarity accounts for 5% of focal country i's total export similarity and r signs an agreement with market b, which absorbs 30% of i's exports, that tie contributes $0.05 \times 0.30 = 0.015$ to i's rivalry in export markets. By contrast, if r signs with a country to which i has no recorded exports, the tie contributes nothing. In Equation (5), $\widetilde{W}_{ir,t-1}$ is rival r's export similarity with country i expressed as a share of country i's total export similarity. $D_{ib,t-1}$ is the share of country i's exports going to market b at time $t-1$. $T_{rb,t-3:t-1}$ is the number of rival–market ties created by agreements signed between $t-3$ and $t-1$ that do not involve i. *Rivalry in export markets* thus captures whether rival exporters are deepening trade ties specifically in markets that matter to the focal country's exports.

$$RE_{it} = \sum_{r \neq i} \sum_{b} \widetilde{W}_{ir,t-1} \, D_{ib,t-1} \, T_{rb,t-3:t-1} \tag{5}$$

At the dyadic level, we apply the same logic while distinguishing more carefully where rival exporters sign their agreements relative to a focal dyad. Consider a dyad formed by countries i and j, where j is the prospective negotiating partner for i. We ask whether country i's rivals are signing agreements with the prospective partner, with i's other export markets, or with countries that are not export markets for i. Because a single agreement signed by rival r may involve more than one partner, assigning the full value of that agreement to every partner would overstate rival activity. We therefore divide each rival's agreement equally across the partners recorded in that agreement, so that one agreement contributes a total value of 1 spread across the partner ties it creates.

Each partner country is then placed into one of three categories defined relative to country i. The first category is the prospective partner j itself. The second is i's other export markets, meaning countries other than j to which i exports goods. The third is all other partners, meaning countries other than j to which i has no recorded exports. Let $H_{ry,t-3:t-1}$ denote the fractional number of ties between rival r and partner y, where

each agreement signed by r between $t-3$ and $t-1$ is divided equally across the partners recorded in that agreement. We then define country i's category-specific contribution to dyad i–j as:

$$C_{ijt}^{L} = \sum_{r \neq i,j} \widetilde{W}_{ir,t-1} \sum_{y \in L} H_{ry,t-3:t-1} \tag{6}$$

L denotes one of the three partner categories defined relative to country i: the prospective partner j (PP), other export markets (OEM), or other partners y (OP). Thus, C_{ijt}^{L} captures category-L rivalry pressure on dyad i–j from the perspective of country i. We then apply the same logic from the perspective of country j and add the two category-specific contributions together:

$$RT_{ijt}^{L} = C_{ijt}^{L} + C_{jit}^{L} \tag{7}$$

This procedure yields three dyadic measures: RT^{PP}, RT^{OEM}, and RT^{OP}. In each case, the final dyadic measure reflects rivalry pressure operating from both sides of the dyad. Figure 3 illustrates the logic of these measures, and Appendix Table A1 summarizes their mechanisms and operationalization.

Across the models, we standardize each pressure measure to mean 0 and standard deviation 1 so that coefficients are comparable across specifications. Standardization is based on all 126 TBD countries with available data in 1996–2020,[8] using separate means and standard deviations for country-level and dyadic measures. In the resulting data, a country-year without usable lagged trade data has missing pressure, while a partner without reported trade contributes zero to the relevant pressure measure.

4.3 Control Variables

At the country level, we include standard controls for factors that may shape governments' decisions to launch trade negotiations. Larger economies may have more to offer at the negotiating table and therefore be more likely to form trade ties (Baier and Bergstrand 2004). We therefore control for log GDP and log population. We include the log of goods exports to capture the size of the export sector that may gain or lose from an agreement.

[8]The TBD includes 130 countries that took part in at least one negotiation with one of the 30 focal countries. Four of these countries (the Cook Islands, Montserrat, Niue, and Liechtenstein) are dropped due to missing data.

We also add the log of one plus the cumulative number of prior agreement partners to capture how embedded a country already is in existing preferential trade relationships.

At the dyadic level, we include similar controls for the characteristics of country pairs. These include the logs of combined GDP and combined population, the absolute differences in log GDP and log population, the log of one plus bilateral goods trade, the log distance between the two countries' capitals, and an indicator for prior signed agreements between the two countries. These controls account for the possibility that countries that trade more, are geographically closer, or already have a history of signed trade agreements may be more likely to launch new negotiations (Baier and Bergstrand 2004; Mansfield and Reinhardt 2003). Economic and trade variables are measured at $t-1$, and the prior-agreement controls count agreements in DESTA signed up to $t-1$. Appendix Table A2 reports summary statistics for all variables.

4.4 Model Specifications

Our empirical models follow the two-level structure of the hypotheses. We first examine countries' participation in bilateral trade negotiations in general, and then ask whether two specific countries enter bilateral negotiations with each other. In extended models, we examine whether it matters where rival exporters sign their trade agreements.

We estimate complementary log-log models for annual negotiation onset, using yearly negotiation data. This yields a discrete-time form of a proportional hazards model (Prentice and Gloeckler 1978; Allison 1982; Beck, Katz and Tucker 1998). At the country level, the model estimates the probability that a country enters at least one bilateral negotiation in a given year. At the dyadic level, it estimates the probability that a specific country pair enters bilateral negotiations with each other.[9]

All models include year fixed effects to capture changes common to all countries or dyads in a given year. To account for temporal dependence, we follow Carter and Signorino (2010) and include the number of years since a country or dyad last entered a bilateral negotiation, divided by 10, along with its square and cube.[10]

[9]Negotiations are treated as repeated events, since the same pair of countries may negotiate more than once over time (Allison 1982; Box-Steffensmeier and Zorn 2002). Cyrus (2021) applies the complementary log-log model to trade agreement formation worldwide, and Hoshiro (2019) applies a Cox proportional hazards model to agreement formation in East Asia.

[10]The count restarts after each negotiation. For countries and dyads with no recorded negotiation, it runs from 1980, the first year of the negotiation data, following Beck, Katz and Tucker (1998).

For country i in year t, the baseline country-level specification is:

$$\log[-\log(1-p_{it})] = \alpha + \beta_1 MP_{it} + \beta_2 RP_{it} + Z_{it}\theta + \delta_t + G_i\gamma + h(d_{it}) \tag{8}$$

p_{it} is the probability that country i enters at least one new bilateral trade negotiation in year t, MP_{it} and RP_{it} denote market pressure and rivalry pressure, Z_{it} is the vector of country-level controls, δ_t captures year fixed effects, G_i represents region fixed effects, and $h(d_{it})$ is the cubic function of time since the country's last negotiation.

For dyad ij in year t, the baseline dyadic specification is:

$$\log[-\log(1-p_{ijt})] = \alpha+\beta_1(MP_{it}+MP_{jt})+\beta_2(RP_{it}+RP_{jt})+Z_{ijt}\theta+\delta_t+G_{ij}\gamma+h(d_{ijt}) \tag{9}$$

p_{ijt} is the probability that countries i and j enter a new bilateral trade negotiation with each other in year t. Market pressure and rivalry pressure are measured as the sum of the two countries' pressure values, standardized across dyads. Z_{ijt} is the vector of dyadic controls, G_{ij} is an indicator for whether both countries belong to the same region, and $h(d_{ijt})$ is the cubic function of time since the dyad's last negotiation.

The specifications then vary across models. In the dyadic models testing Hypothesis 3 and Hypothesis 4, we also include the product of the two countries' standardized pressure values to capture joint exposure more explicitly. In the extended country-level models, we add *rivalry in export markets* alongside market pressure and rivalry pressure. In the extended dyadic models, we replace rivalry pressure with the three measures for where rivals sign their agreements and hold constant the two countries' combined own signature events in the same three-year window. Rival ties with the prospective partner partly overlap with market pressure, since the prospective partner's own agreements also increase the other country's market pressure. At the same time, including the partner's own signature activity helps ensure that the rival-tie measure does not simply reflect the partner's general tendency to sign agreements.[11]

[11] We do not include country or dyad fixed effects because our hypotheses concern comparisons across countries and dyads. Including such fixed effects would restrict the analysis to within-country year-to-year changes and would drop all dyads that never negotiate (Beck and Katz 2001). Standard errors are clustered by country or by dyad, depending on the model.

5 Results

The empirical analysis follows the same progression as the theory. We start at the country level by asking whether external competitive pressure makes countries more likely to participate in at least one bilateral trade negotiation in a given year, which speaks to Hypotheses 1 and 2. We then consider whether the same logic appears more clearly at the dyadic level, where Hypotheses 3 and 4 focus on whether two countries are more likely to launch bilateral negotiations with each other when the dyad faces higher combined external competitive pressure. We conclude with a more refined set of tests that distinguish where rival exporters sign their agreements. These analyses speak to Hypothesis 5 by examining whether rivalry pressure is more strongly associated with negotiation launch when rivals sign in commercially relevant markets, including the prospective partner itself.

Because the models use complementary log-log estimation, the tables report coefficients on the model scale rather than direct changes in predicted probability. We use coefficient signs and statistical significance to assess support for the hypotheses, and then translate selected estimates into predicted probabilities or relative changes in likelihood to convey substantive magnitude.

5.1 Country-level Pressure

Table 4 reports the country-level models for Hypotheses 1 and 2. These specifications ask whether countries facing greater market pressure or rivalry pressure are more likely to participate in at least one bilateral trade negotiation in a given year. Overall, the results provide little support for either hypothesis. Columns 1 and 2 include market pressure and rivalry pressure separately, while Column 3 includes both together.

Across all three models, market pressure remains substantively small and statistically insignificant. Rivalry pressure also fails to support the theoretical expectation: its coefficient is negative and statistically insignificant. These results do not support Hypotheses 1 and 2 at the country-year level.

Substantively, the country-level effects are limited. A one-standard-deviation increase in market pressure corresponds to about a 1 percentage point increase in the predicted probability that a country participates in a bilateral trade negotiation in a given year. The estimate for rivalry pressure points in the opposite direction, corresponding to about

Table 4: Country Pressure and Bilateral Negotiation Participation

	Market only (1)	Rivalry only (2)	Both (3)
Market pressure	0.089	—	0.053
	(0.112)		(0.121)
Rivalry pressure	—	−0.292	−0.287
		(0.203)	(0.205)
Controls	✓	✓	✓
Year FE	✓	✓	✓
Region FE	✓	✓	✓
Years since last bilateral negotiation, cubic	✓	✓	✓
Country-years	717	717	717
Events	208	208	208

Note: Complementary log-log coefficients; country-clustered standard errors in parentheses. $^{***}p < .01$; $^{**}p < .05$; $^{*}p < .10$.

a 5.5 percentage point decrease, though it is not statistically significant.[12] One possible interpretation is that external competitive pressure does not mainly make some countries more likely to negotiate with just any partner. Rather, if such pressure shapes negotiation launch, its effects may emerge more clearly at the dyadic level.

5.2 Dyadic Pressure

We next turn to the dyadic tests of Hypotheses 3 and 4. Rather than asking whether some countries become more likely to negotiate in general, Table 5 asks whether two countries are more likely to launch bilateral negotiations with each other when the dyad faces higher combined market pressure or rivalry pressure. At this level, the evidence is considerably more supportive. Across the baseline specifications in Columns 1 through 3, both pressure measures are positive and statistically significant.

These results support Hypotheses 3 and 4. Dyads facing higher combined market pressure are more likely to launch bilateral negotiations, and the same is true for dyads facing higher combined rivalry pressure. This pattern fits the theory more closely than the country-level results do. The contrast between the country-level and dyadic findings

[12] We report average marginal substantive effects, measured as the change in predicted participation, in percentage points, associated with a one-standard-deviation increase in each pressure variable. These effects are calculated across the country-years for which such an increase remains within the observed range of the data and are then averaged across those observations.

reinforces the expectation that bilateral negotiation launch depends on conditions on both sides. In this context, external competitive pressure is more strongly associated with the emergence of particular negotiating dyads than with countries' general propensity to negotiate.

Columns 4 through 6 ask whether bilateral negotiation launch depends not only on how much pressure the dyad faces in total, but also on whether both countries face pressure at the same time. Here, joint market exposure appears to be not significant while joint rivalry exposure is negative and significant only at the 90% level. Since the model is nonlinear, however, the substantive meaning of these coefficients cannot be read directly from their sign and significance alone.[13] We therefore assess the joint effects using predicted probabilities, comparing dyads in which both countries are at the 75th percentile of a given pressure measure with dyads in which one country is at the 75th percentile and the other at the 25th percentile.

Table 5: Dyadic Pressure and Bilateral Negotiation Participation

	Market only	Rivalry only	Both	Market and joint market exposure	Rivalry and joint rivalry exposure	Both and joint exposure
	(1)	(2)	(3)	(4)	(5)	(6)
Market pressure	0.417***	—	0.338***	0.406***	—	0.306**
	(0.102)		(0.114)	(0.107)		(0.119)
Rivalry pressure	—	0.394***	0.297**	—	0.614***	0.511***
		(0.142)	(0.148)		(0.183)	(0.194)
Joint market exposure	—	—	—	0.026	—	0.050
				(0.090)		(0.092)
Joint rivalry exposure	—	—	—	—	−0.100*	−0.093*
					(0.055)	(0.054)
Same region	1.363***	1.374***	1.378***	1.361***	1.403***	1.402***
	(0.259)	(0.259)	(0.259)	(0.260)	(0.256)	(0.257)
Controls	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Years since last bilateral negotiation, cubic	✓	✓	✓	✓	✓	✓
Dyad-years	78,639	78,639	78,639	78,639	78,639	78,639
Events	208	208	208	208	208	208

Note: Complementary log-log coefficients; dyad-clustered standard errors in parentheses. $^{***}p < .01$; $^{**}p < .05$; $^{*}p < .10$.

[13] In nonlinear models, the coefficient on a product term does not by itself capture the size or even the sign of the interaction effect (Ai and Norton 2003; Berry, DeMeritt and Esarey 2010).

The substantive effects in the full specification are modest in absolute percentage-point terms, but still meaningful because specific dyads rarely launch negotiations in a given year. In Column 6, a one-standard-deviation increase in combined market pressure corresponds to about a 0.09 percentage point increase in the predicted probability of negotiation onset, while a one-standard-deviation increase in combined rivalry pressure corresponds to about a 0.17 percentage point increase. In relative terms, these changes amount to roughly 35% and 65% of the baseline dyad-year probability, respectively.

Comparing dyads in which both countries are at the 75th percentile with dyads in which only one is, those in which both countries face high market pressure are about 0.08 percentage points more likely to launch negotiations than dyads in which only one country does, and the corresponding difference for rivalry pressure is about 0.07 percentage points. These differences are statistically significant and consistent with the idea that bilateral negotiation launch is more likely when pressure is present on both sides of the dyad (Appendix Figure A2).

5.3 Where Do Rivals Sign?

Next, we turn to Hypothesis 5, which develops the rivalry argument further by asking whether it matters where rival exporters sign their trade agreements. The expectation is that rivalry pressure should matter more when rivals sign in important markets than when they sign elsewhere. We begin with a country-level extension that captures rivals' agreement activity in a country's export markets. We then move to dyadic models that distinguish between rival ties with the prospective partner, rival ties with other export markets, and rival ties with partners that are not export markets.

Table 6 presents the country-level test of Hypothesis 5. Building on the earlier country-level models, it adds rivalry in export markets to the specification that already includes market pressure and rivalry pressure. This allows us to ask whether countries are more likely to participate in bilateral negotiations when their rivals sign agreements specifically in markets that matter to the focal country's exports. The results support this expectation.

Rivalry in export markets has a positive and statistically significant coefficient, whereas market pressure and rivalry pressure are not statistically significant. This suggests that the broader country-level measures may be too broad to capture the form of external

competitive pressure most relevant to the launch of negotiations. Unlike rivalry pressure, which captures rivals' agreement activity in the aggregate, rivalry in export markets adds information on whether those agreements occur in destinations that matter to the focal country's exports.

Substantively, this effect is also sizable. A one-standard-deviation increase in rivalry in export markets corresponds to about an 11 percentage point increase in the predicted probability that a country participates in a bilateral negotiation in a given year. This result helps clarify the earlier country-level findings. External competitive pressure does not appear to matter much at this level when measured in broad terms alone. It becomes more strongly associated with negotiation launch once the measure captures where rivals sign and whether those locations matter to the focal country's export interests.

Table 6: Rival Agreements in Export Markets and Bilateral Negotiation Participation

	Countries
Rivalry in export markets	0.499**
	(0.220)
Market pressure	−0.239
	(0.208)
Rivalry pressure	−0.290
	(0.175)
Controls	✓
Year FE	✓
Region FE	✓
Years since last bilateral negotiation, cubic	✓
Country-years	717
Events	208

Note: Complementary log-log coefficients; country-clustered standard errors in parentheses. $^{***}p < .01$; $^{**}p < .05$; $^{*}p < .10$.

Table 7 brings Hypothesis 5 to the dyadic level. Replacing the broader rivalry-pressure measure, it separates rival agreement ties into three categories: ties with the prospective partner, ties with other export markets, and ties with partners that are not export markets (see discussion about Equation 7). The question is whether bilateral negotiation launch is more strongly associated with rival activity in commercially relevant locations than with rival activity elsewhere.

The results support this expectation. Rival ties with the prospective partner yield a positive and highly significant coefficient, and rival ties with other export markets are

Table 7: Rival Agreements with the Prospective Partner and Bilateral Negotiation Participation

	Dyads
Rival ties with the prospective partner	0.279***
	(0.044)
Rival ties with other export markets	0.933***
	(0.208)
Rival ties with other partners	0.285
	(0.271)
Market pressure	0.052
	(0.140)
Combined own signature events	−0.156
	(0.135)
Same region	1.063***
	(0.261)
Controls	✓
Year FE	✓
Years since last bilateral negotiation, cubic	✓
Dyad-years	78,639
Events	208

Note: Complementary log-log coefficients; dyad-clustered standard errors in parentheses. $^{***}p < .01$; $^{**}p < .05$; $^{*}p < .10$.

also positive and highly significant. Substantively, a one-standard-deviation increase in rival ties with the prospective partner corresponds to about 0.08 percentage points more predicted negotiation onset in a dyad-year, or roughly 32% above the baseline dyad-year rate. A one-standard-deviation increase in rival ties with other export markets corresponds to about 0.39 percentage points more predicted negotiation onset, or about 146% above the baseline rate. By contrast, rival ties with other partners that are not export markets are not statistically significant.

These findings suggest that where rivals sign matters in theoretically meaningful ways. When rivals deepen trade ties with the prospective partner itself, or with other markets that matter to one side's exports, the focal dyad becomes more likely to launch negotiations. When rivals sign elsewhere, however, the same pattern does not appear. This is consistent with the argument that external competitive pressure is concentrated in important export markets rather than generated by rival agreement activity in general.

5.4 Robustness Checks

We assess the robustness of the main findings with a series of alternative specifications and sample restrictions. These checks address how external competitive pressure is timed and measured, whether the results depend on additional controls or particular periods, and whether they are driven by influential subsets of the data. Appendix Tables A3 through A6 report the full results.

First, our main measures are based on recent PTA signature events, but governments may also respond to ongoing negotiations that have not yet produced an agreement. We therefore construct alternative pressure measures based on negotiations in which a country's destinations or rivals were involved in the previous year, using the same weighting logic as in the main measures (Appendix Tables A3 and A4, "Ongoing negotiations" column). One limitation is that negotiation data are only complete for the 30 Asia-Pacific countries, so ongoing negotiations involving non-focal countries are measured less comprehensively than signed PTAs. Even so, the overall pattern is similar to the main results. At the country-year level, market pressure is negative and weakly significant, while rivalry pressure remains insignificant. At the dyadic level, both pressure measures remain positive and statistically significant.

Second, we vary the time window used to construct the pressure measures and fix

the trade weights at pre-treatment values. In place of the main three-year window from $t-3$ through $t-1$, we consider a one-year window at $t-1$ and a five-year window from $t-5$ through $t-1$. We also fix export shares and export similarity at their 1995 values, before they could themselves be shaped by later trade agreements (Appendix Tables A3 through A6, "One-year window," "Five-year window," and "1995 weights" columns). In the country-level pressure models (Appendix Table A3), market pressure remains positive and insignificant, while rivalry pressure remains negative and becomes weakly significant in the one-year-window and 1995-weight specifications. In the main dyadic pressure models (Appendix Table A4), market pressure remains positive and significant throughout, whereas rivalry pressure remains positive but loses significance in the one-year-window and 1995-weight specifications. In the country-level export-markets models (Appendix Table A5), rivalry in export markets remains positive in all cases and stays significant in the one-year-window and 1995-weight specifications, though not in the five-year-window model. In the dyadic rival-ties models (Appendix Table A6), rival ties with the prospective partner and rival ties with other export markets remain positive and statistically significant across these specifications, while rival ties with other partners become positive and significant only in the one-year-window model. Overall, the shorter one-year window produces the most mixed results, but the main patterns remain recognizable.

Third, we add controls for democracy, WTO membership, and the log of trade openness at $t-1$ (Appendix Tables A3 through A6, "Controls" column). Democracy is measured using the V-Dem polyarchy score (Coppedge et al. 2025). In the dyadic models, we use the lower of the two countries' democracy scores, an indicator for whether both countries are WTO members, and the mean of the two countries' logged trade openness. These additional controls reduce the sample from 717 to 666 country-years and from 78,639 to 57,767 dyad-years because of missing data. In the country-level pressure models (Appendix Table A3), the two main pressure measures remain weak, with rivalry pressure again negative and weakly significant. In the main dyadic pressure models (Appendix Table A4), both pressure measures remain positive and significant. In the country-level export-markets models (Appendix Table A5), rivalry in export markets remains positive and significant. In the dyadic rival-ties models (Appendix Table A6), rival ties with the prospective partner and rival ties with other export markets remain positive and highly significant, while rival ties with other partners remain insignificant. The additional con-

trols do not show a uniform pattern across specifications, but their inclusion does not alter the main findings.

Fourth, we examine whether the results depend disproportionately on the timing and coding of European integration. We restrict the sample to years from 2000 onward, recode EU enlargement so that each acceding state's 2003 accessions count as a single signature event, and separately exclude the years 2004 through 2006, when EU-related agreement activity spikes (Appendix Tables A3 through A6, "From 2000" and "Without 2004–2006" columns; Appendix Tables A3 and A4, "Enlargement counted once" column). Across all these models, the resulting estimates remain close to the baseline pattern. The country-level pressure results remain weak, the main dyadic pressure results remain positive, rivalry in export markets remains positive, and the dyadic rival-ties results continue to be strongest for rival ties with the prospective partner and other export markets.

Fifth, we restrict the dyadic sample to pairs composed of two focal countries, limiting the analysis to cases for which negotiation data are most complete on both sides. This leaves 435 dyads and 9,549 dyad-years (Appendix Table A4, "Both focal" column). In this heavily restricted sample, market pressure remains positive but is only weakly significant, while rivalry pressure becomes negative and statistically significant. One possible reason is that, within the focal-country sample, many countries are close export rivals to one another, so the restricted sample places greater weight on dyads formed by countries that are themselves strong mutual competitors.

Finally, we exclude dyads involving EU members: those states do not negotiate trade agreements on their own, and thus their 16,650 dyad-years contain no bilateral negotiations (Appendix Tables A4 and A6, "Without EU" column). In the main dyadic pressure models (Appendix Table A4), both market pressure and rivalry pressure become statistically insignificant. In the dyadic rival-ties models (Appendix Table A6), however, rival ties with the prospective partner remain positive and highly significant, whereas rival ties with other export markets no longer reach statistical significance. We therefore view this as a stringent test of whether the dyadic results extend beyond EU-related cases, with the prospective-partner result proving the most durable.

Overall, these checks reinforce the central pattern of the paper. Support for Hypotheses 1 and 2 remains weak, but the dyadic findings for Hypotheses 3 and 4 continue to indicate that external competitive pressure is associated with bilateral negotiation launch.

Hypothesis 5 sharpens that broader result by showing that support is most consistent when the analysis distinguishes where rivals sign, especially rival ties with the prospective partner. This strengthens our confidence that bilateral negotiation launch is shaped by external competitive pressure at the dyadic level, particularly when rival agreements occur in commercially relevant locations.

6 Conclusion

How do governments decide when to open trade negotiations, and why do some bilateral negotiations emerge rather than others? This study has argued that these dynamics are shaped in part by external competitive pressure. While most research on trade cooperation focuses on signed agreements, we shift attention to an earlier stage of the process: the launch of trade negotiations. This matters because governments respond to changes in the external trade environment before signed agreements are observed. Before any agreement is concluded, governments must decide whether and how to respond, and some bilateral negotiations are more likely to emerge than others.

We develop a theory that links external competitive pressure to the onset of trade negotiations. The argument distinguishes between two mechanisms. First, market pressure arises when governments see important export markets becoming more integrated with other states, which raises concerns about exclusion and relative disadvantage. Second, rivalry pressure arises when competing exporters become more integrated with other states through trade agreements, which creates concerns about falling behind in shared markets. Because negotiations emerge in relation to specific potential counterparts, however, these pressures should be most visible in concrete negotiating contexts rather than only in countries' general propensity to negotiate. In the empirical analysis, we examine this implication through the launch of bilateral trade negotiations.

Empirically, we find that support for the argument is strongest at the dyadic level. Broad country-level measures of market pressure and rivalry pressure show little consistent association with whether countries participate in bilateral negotiations in a given year. By contrast, dyads facing stronger external competitive pressure are more likely to launch bilateral negotiations. This pattern is strongest when the analysis distinguishes where rival exporters sign their agreements, especially when rivals sign with the prospec-

tive partner itself or with other commercially relevant export markets.

These results contribute to the study of trade cooperation in three ways. First, we shift attention to an earlier stage of trade cooperation at which governments first respond to external competitive pressure. Analyses limited to signed agreements risk overlooking this earlier stage of strategic action. Not all negotiations lead to agreements, and the factors that encourage governments to open talks may not be identical to those that carry negotiations through to conclusion. Second, our findings show that external competitive pressure is more informative at the dyadic level than at the country level. Broad country-level pressure does not translate automatically into negotiation launch, but bilateral negotiations are more likely when the dyad faces stronger pressure, especially when rival agreements occur in commercially relevant locations. Third, we highlight that negotiation launch is not only a cooperative act, but can also serve as a signal of strategic action. By opening negotiations, governments may show domestic audiences that they are responding to external competitive pressure even before any agreement is concluded. Thus, negotiation launch can carry political value even when talks do not ultimately reach signature.

This study also leaves several open questions. First, we would like to examine more fully whether the pressures that encourage negotiation launch also shape agreement conclusion. Our argument here is centered on the decision to begin talks, since external competitive pressure is most directly tied to the move into negotiation. However, once bargaining is underway, the same pressures may or may not help governments overcome the political and economic obstacles that stand between the start of the negotiations and the signing of the deal. A useful next step would therefore be to examine more directly whether the forces that trigger negotiations are distinct from those that carry them to conclusion (Ye 2024*b*,*a*).

Second, an important open question is how best to model multilateral negotiations and negotiations involving regional organizations. Although our empirical analysis focuses on bilateral negotiations only for methodological reasons, it remains possible that external competitive pressure also shapes the launch of multilateral trade negotiations. A fuller methodological treatment of how to analyze both together may therefore deserve a separate study.

Third, future research can examine more directly how external competitive pressure

shapes the content of trade negotiations. Existing work on trade agreement design has mainly studied signed agreements, focusing on institutional design, agreement depth, the spread of specific provisions, and the use of boilerplate or copied language (Koremenos, Lipson and Snidal 2001; Dür, Baccini and Elsig 2014; Lechner 2016; Gamso and Postnikov 2021; Allee and Elsig 2019; Peacock, Milewicz and Snidal 2019; Elsig and Klotz 2022). A useful next step would be to collect data on draft agreement texts and, where possible, on the issues under negotiation. This would make it possible to examine whether external competitive pressure shapes not only when negotiations begin, but also what governments seek to achieve in bargaining.

By focusing on when governments launch trade negotiations and why some bilateral negotiations emerge rather than others, this study draws attention to an earlier and more contingent stage of trade cooperation. Doing so helps recover a broader set of strategic responses that remain invisible when analysis begins with signed agreements alone. This approach is especially useful in periods of rising protectionism and trade conflict. Under these conditions, governments may respond to external competitive pressure in several ways: they may defend existing arrangements, raise barriers, or open new negotiations. Trade cooperation is therefore shaped not simply by which agreements are ultimately concluded, but also by which negotiations governments choose to launch in the first place.

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Appendix

Table A1: Measures, mechanisms and measurement

Measure	**Mechanism**	**How it is measured**
Country-year measures		
Market pressure (MP)	Trade cooperation in important export markets may encourage a country to enter negotiations.	Sum each export destination's agreement signatures, weighted by its share of the focal country's exports (D).
Rivalry pressure (RP)	Rivals' new agreements may encourage a country to negotiate to protect its competitive position.	Sum each rival's agreement signatures, weighted by its raw export similarity with the focal country (W, on a 0–100 scale).
Rivalry in export markets (RE)	Rivals' agreements may create greater pressure when they involve the country's export markets.	Count rival–destination ties in signed agreements. Weight each tie by the rival's normalized export similarity ($\widetilde{W}$) and the destination's share of the focal country's exports (D).
Dyad-year measures		
Market pressure (MP)	Market pressure on either country may encourage negotiations between the two.	Add the two countries' market-pressure contributions.
Rivalry pressure (RP)	Rivalry pressure on either country may encourage negotiations between the two.	For each country, calculate rivalry pressure excluding the prospective partner as a rival. Add the two contributions.
Joint market exposure	Checks whether the association with market pressure depends on the pressure faced by the prospective partner.	Multiply the two countries' standardized market-pressure contributions. The product is positive when both are above, or both below, the mean.
Joint rivalry exposure	Checks whether the association with rivalry pressure depends on the pressure faced by the prospective partner.	Multiply the two countries' standardized rivalry-pressure contributions, each excluding the prospective partner as a rival. The product is positive when both are above, or both below, the mean.

Table A1: Measures, mechanisms and measurement (continued)

Measure	**Mechanism**	**How it is measured**
Dyad-year measures		
Rival ties with the prospective partner (RT^{PP})	Rivals' agreements with the prospective partner may encourage negotiations with that partner.	For each country, split each rival's agreement equally among its recorded partners. Retain the share allocated to the prospective partner, weight it by $\widetilde{W}$, and add the two countries' contributions.
Rival ties with other export markets (RT^{OEM})	Rivals' agreements in other export markets may encourage negotiations with the prospective partner.	Use the same allocation and weighting, retaining partners other than the prospective partner to which the focal country has positive recorded exports. Add the two countries' contributions.
Rival ties with other partners (RT^{OP})	Checks whether rivalry pressure extends beyond the country's recorded export markets.	Use the same allocation and weighting, retaining partners other than the prospective partner without positive recorded exports from the focal country. Add the two countries' contributions.

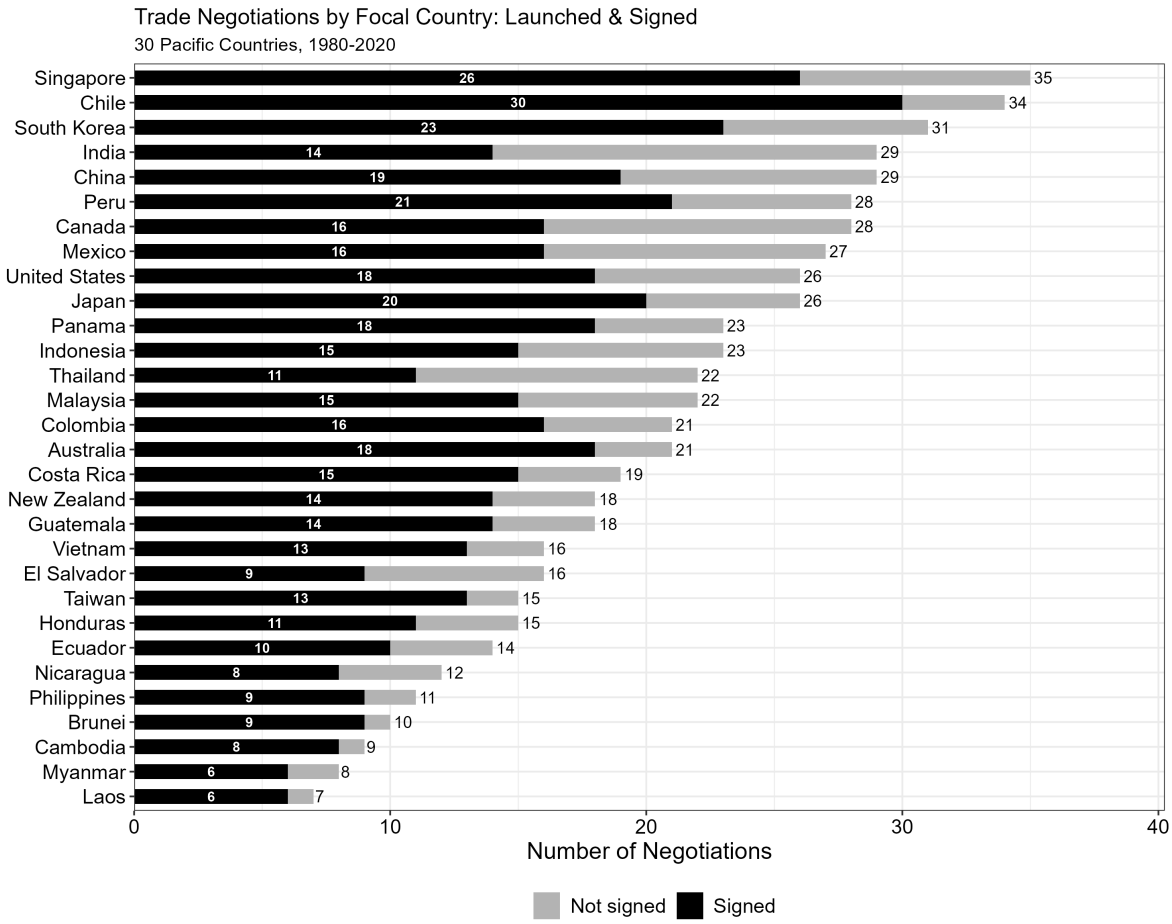


Figure A1: Number of Trade Negotiations by Focal Countries

Table A2: Summary Statistics

Panel A: Samples

	Countries or dyads	Observations	Bilateral negotiations
Country-years (30 focal countries)	30	717	208
Dyad-years (with at least one focal country)	3,315	78,639	208
Both countries focal	435	10,419	110
One focal country	2,880	68,220	98
Same region	524	12,564	78
Different regions	2,791	66,075	130

Panel B: Variables Statistics

	Mean	SD	P10	Median	P90
Country-years (30 focal countries)					
Participation in a bilateral negotiation	0.290	0.454	—	—	—
Market pressure	2.66	1.20	1.18	2.50	4.25
Rivalry pressure	6,716	3,064	3,164	6,236	10,976
Rivalry in export markets	0.047	0.030	0.015	0.041	0.090
Years since last bilateral negotiation	8.85	—	1	3	24
Dyad-years (with at least one focal country)					
Bilateral negotiation between the two countries	0.003	0.051	—	—	—
Combined market pressure	5.47	2.48	2.63	5.06	8.86
Combined rivalry pressure	11,616	4,730	6,449	10,767	17,890
Joint market exposure	0.19	0.62	−0.36	0.11	0.85
Joint rivalry exposure	0.24	1.53	−0.85	0.01	1.15
Rival ties with the prospective partner	0.033	0.056	0.001	0.015	0.077
Rival ties with other export markets	4.335	1.607	2.620	4.037	6.572
Rival ties with other partners	0.741	0.654	0.071	0.574	1.640
Years since last bilateral negotiation of the pair	28.86	—	19	29	39

Panel C: Controls

	Mean	SD	P10	Median	P90
Country-years (30 focal countries)					
Log GDP	25.91	2.00	23.28	25.91	28.52
Log population	17.10	1.75	15.24	16.97	19.42
Log goods exports	10.67	2.00	8.19	10.78	13.07
Log one plus prior signed partners	3.43	0.99	2.30	3.91	4.45
Dyad-years (with at least one focal country)					
Same region	0.160	0.366	—	—	—
Combined log GDP	26.75	1.69	24.45	26.69	29.02
Log GDP gap	2.67	2.03	0.40	2.26	5.54
Combined log population	17.77	1.48	15.89	17.72	19.57
Log population gap	2.52	1.95	0.39	2.09	5.37
Log one plus bilateral goods trade	3.70	2.98	0.02	3.43	7.90
Log distance between capitals	9.03	0.66	8.05	9.18	9.71
Prior signed agreement	0.248	0.432	—	—	—

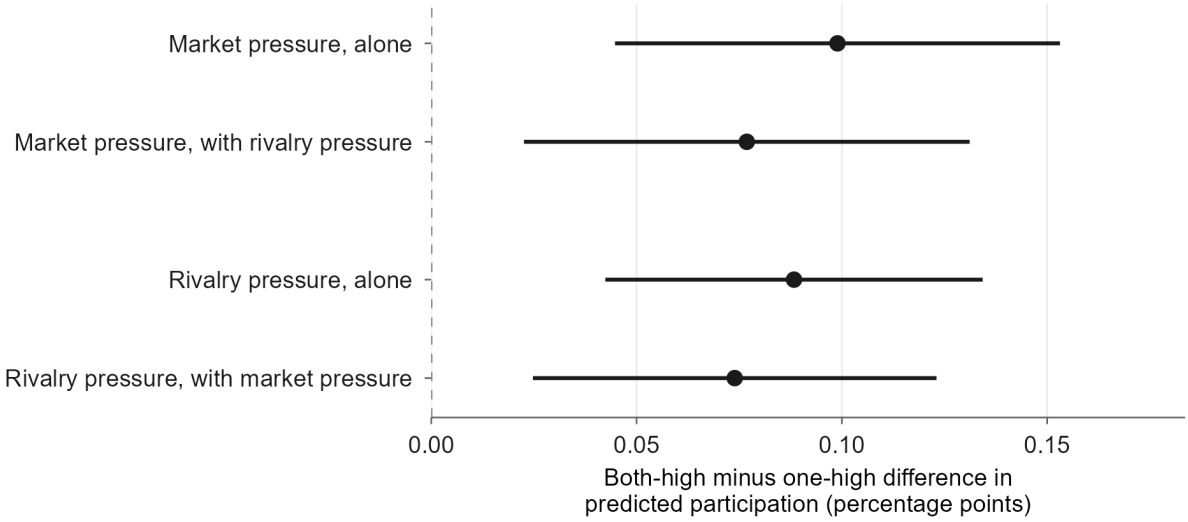


Figure A2: Predicted Participation When Both Countries Face High Pressure
Note: Both-high minus one-high difference in average predicted participation, in percentage points: both countries at the 75th percentile of country pressure against one at the 75th and one at the 25th. Bands represent 95 percent intervals from dyad-clustered standard errors.

Table A3: Additional Checks and Models, Country-Level

	Main	Ongoing negotiations	One-year window	Five-year window	1995 weights	Controls	From 2000	Enlargement counted once	Without 2004–2006
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Market pressure	0.053	—	0.047	0.158	0.082	0.039	0.077	0.041	0.142
	(0.121)		(0.169)	(0.191)	(0.156)	(0.135)	(0.136)	(0.124)	(0.173)
Rivalry pressure	−0.287	—	−0.350*	−0.305	−0.370*	−0.374*	−0.331	−0.363	−0.283
	(0.205)		(0.174)	(0.247)	(0.198)	(0.189)	(0.232)	(0.225)	(0.243)
Market pressure, ongoing negotiations	—	−0.255*	—	—	—	—	—	—	—
		(0.136)							
Rivalry pressure, ongoing negotiations	—	−0.242	—	—	—	—	—	—	—
		(0.179)							
Democracy	—	—	—	—	—	0.291	—	—	—
						(0.679)			
WTO membership	—	—	—	—	—	1.192**	—	—	—
						(0.578)			
Trade openness (log)	—	—	—	—	—	0.590	—	—	—
						(0.493)			
Controls	✓	✓	✓	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓	✓	✓	✓
Region FE	✓	✓	✓	✓	✓	✓	✓	✓	✓
Years since last bilateral negotiation, cubic	✓	✓	✓	✓	✓	✓	✓	✓	✓
Country-years	717	717	717	717	717	666	627	717	627
Events	208	208	208	208	208	207	193	208	172

Note: Complementary log-log coefficients; country-clustered standard errors in parentheses. $^{***}p < .01$; $^{**}p < .05$; $^{*}p < .10$. The window columns build the pressure measures from signatures in the previous year or the previous five years, and the 1995 weights column fixes the trade weights at 1995. Controls adds democracy, WTO membership and trade openness, keeping all available country-years. The enlargement counted once column counts each acceding state's 2003 accessions to EU agreements as one signature event, and the without 2004–2006 column drops the years 2004 to 2006.

Table A4: Additional Checks and Models, Dyadic-Level

	Main	Ongoing negotiations	One-year window	Five-year window	1995 weights	Controls	From 2000	Enlargement counted once	Without 2004–2006	Both focal	Without EU
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
Market pressure	0.338***	—	0.214**	0.427***	0.468***	0.363***	0.392***	0.307***	0.386***	0.540*	−0.247
	(0.114)		(0.106)	(0.111)	(0.112)	(0.132)	(0.120)	(0.118)	(0.139)	(0.293)	(0.169)
Rivalry pressure	0.297**	—	0.225	0.304**	0.110	0.363**	0.285*	0.415***	0.524***	−0.504**	−0.173
	(0.148)		(0.153)	(0.152)	(0.166)	(0.160)	(0.151)	(0.159)	(0.166)	(0.255)	(0.157)
Market pressure, ongoing negotiations	—	0.268**	—	—	—	—	—	—	—	—	—
		(0.126)									
Rivalry pressure, ongoing negotiations	—	0.355**	—	—	—	—	—	—	—	—	—
		(0.160)									
Democracy (lower of the two)	—	—	—	—	—	0.360	—	—	—	—	—
						(0.346)					
WTO membership (both)	—	—	—	—	—	0.593	—	—	—	—	—
						(0.379)					
Trade openness (log, mean)	—	—	—	—	—	−0.538**	—	—	—	—	—
						(0.218)					
Same region	1.378***	1.303***	1.361***	1.410***	1.373***	1.388***	1.424***	1.387***	1.294***	0.427	0.858***
	(0.259)	(0.265)	(0.259)	(0.259)	(0.262)	(0.248)	(0.272)	(0.258)	(0.291)	(0.331)	(0.238)
Controls	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
Years since last bilateral negotiation, cubic	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
Dyad-years	78,639	78,639	78,639	78,639	73,779	57,767	69,414	78,639	68,694	9,549	61,989
Events	208	208	208	208	205	197	197	208	166	110	208

Note: Complementary log-log coefficients; dyad-clustered standard errors in parentheses. $^{***}p < .01$; $^{**}p < .05$; $^{*}p < .10$. The window columns build the pressure measures from signatures in the previous year or the previous five years, and the 1995 weights column fixes the trade weights at 1995. Controls adds democracy, WTO membership and trade openness, keeping all available dyad-years. The enlargement counted once column counts each acceding state's 2003 accessions to EU agreements as one signature event, and the without 2004–2006 column drops the years 2004 to 2006. The both focal column keeps dyads of two focal countries, and the without EU column drops dyad-years with an EU member. The both focal column omits 2014 and 2016, years with no negotiation between two focal countries.

Table A5: Additional Checks and Models, Rivalry in Export Markets

	Main	One-year window	Five-year window	1995 weights	Controls	From 2000	Without 2004–2006
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Rivalry in export markets	0.499**	0.391*	0.487	0.423**	0.400*	0.462**	0.586*
	(0.220)	(0.230)	(0.291)	(0.184)	(0.219)	(0.209)	(0.291)
Market pressure	−0.239	−0.090	−0.083	−0.119	−0.189	−0.193	−0.250
	(0.208)	(0.224)	(0.305)	(0.191)	(0.211)	(0.199)	(0.311)
Rivalry pressure	−0.290	−0.371**	−0.259	−0.354**	−0.358**	−0.337	−0.302
	(0.175)	(0.170)	(0.214)	(0.171)	(0.173)	(0.202)	(0.222)
Democracy	—	—	—	—	0.144	—	—
					(0.671)		
WTO membership	—	—	—	—	1.118*	—	—
					(0.550)		
Trade openness (log)	—	—	—	—	0.478	—	—
					(0.493)		
Controls	✓	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓	✓
Region FE	✓	✓	✓	✓	✓	✓	✓
Years since last bilateral negotiation, cubic	✓	✓	✓	✓	✓	✓	✓
Country-years	717	717	717	717	666	627	627
Events	208	208	208	208	207	193	172

Note: Complementary log-log coefficients; country-clustered standard errors in parentheses. $^{***}p < .01$; $^{**}p < .05$; $^{*}p < .10$. The window columns build all three measures from signatures in the previous year or the previous five years, and the 1995 weights column fixes the trade weights of market and rivalry pressure at 1995, while rivalry in export markets keeps its main construction. Controls adds democracy, WTO membership and trade openness, keeping all available country-years. The without 2004–2006 column drops the years 2004 to 2006.

Table A6: Additional Checks and Models, Different Rival Ties

	Main	One-year window	Five-year window	1995 weights	Controls	From 2000	Without 2004–2006	Without EU
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Rival ties with the prospective partner	0.279***	0.127***	0.281***	0.274***	0.274***	0.270***	0.247***	0.179***
	(0.044)	(0.039)	(0.050)	(0.045)	(0.045)	(0.045)	(0.047)	(0.053)
Rival ties with other export markets	0.933***	1.104***	0.972***	0.832***	0.828***	1.068***	1.269***	0.324
	(0.208)	(0.281)	(0.215)	(0.211)	(0.222)	(0.216)	(0.258)	(0.204)
Rival ties with other partners	0.285	0.718***	0.371	0.129	0.491	0.169	0.290	−0.253
	(0.271)	(0.181)	(0.270)	(0.297)	(0.329)	(0.316)	(0.305)	(0.324)
Market pressure	0.052	0.088	0.088	0.153	0.086	0.088	0.110	−0.320*
	(0.140)	(0.113)	(0.130)	(0.128)	(0.151)	(0.154)	(0.163)	(0.171)
Combined own signature events	−0.156	0.257**	−0.198	−0.145	−0.166	−0.093	0.006	0.183
	(0.135)	(0.108)	(0.143)	(0.130)	(0.141)	(0.135)	(0.171)	(0.138)
Same region	1.063***	1.165***	1.034***	1.094***	1.081***	1.092***	0.932***	0.872***
	(0.261)	(0.264)	(0.264)	(0.263)	(0.260)	(0.276)	(0.295)	(0.249)
Democracy (lower of the two)	—	—	—	—	0.341	—	—	—
					(0.368)			
WTO membership (both)	—	—	—	—	0.562	—	—	—
					(0.381)			
Trade openness (log, mean)	—	—	—	—	−0.487**	—	—	—
					(0.235)			
Controls	✓	✓	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓	✓	✓
Years since last bilateral negotiation, cubic	✓	✓	✓	✓	✓	✓	✓	✓
Dyad-years	78,639	78,639	78,639	73,779	57,767	69,414	68,694	61,989
Events	208	208	208	205	197	197	166	208

Note: Complementary log-log coefficients; dyad-clustered standard errors in parentheses. $^{***}p < .01$; $^{**}p < .05$; $^{*}p < .10$. The window columns build market pressure, the rival-tie measures and own signature events from signatures in the previous year or the previous five years, and the 1995 weights column fixes the trade weights of market pressure at 1995, while the other measures keep their main construction. Controls adds democracy, WTO membership and trade openness, keeping all available dyad-years. The without 2004–2006 column drops the years 2004 to 2006. The without EU column drops dyad-years with an EU member.

Table A7: Negotiation Outcomes by Decade of Launch

Decade	Signed	Discontinued	Ongoing	Total	Success Rate	Disc. Rate
1980s	4	0	0	4	100.0%	0.0%
1990s	23	2	0	25	92.0%	8.0%
2000s	106	39	1	146	72.6%	26.7%
2010s	72	38	22	132	54.5%	28.8%
2020s	6	1	1	8	75.0%	12.5%
Total	211	80	24	315	67.0%	25.4%

Note: Each negotiation is assigned to the decade of its formal launch year. Success rate = Signed / Total. Discontinuation rate = Discontinued / Total. Rates are calculated within each decade.